

POL-FIN-002 - Payment and Settlement Policy

Policy | Operations

Document ID	POL-FIN-002	Seller ID	Organization-wide
Department	Operations	Classification	INTERNAL
Owner	Neha Gupta	Created Date	2026-04-01
Version	3.2	Effective Date	2026-04-01
Related Scenario ID	SC-001, SC-004, SC-007, SC-011	Document Type	Policy

1. Purpose

This policy governs how seller earnings are computed, when they are paid, who is responsible for the accuracy of financial documents, and how financial errors are corrected. It applies to every seller on Nexora Marketplace.

Its central principle is that the platform computes and issues the financial record, and therefore the platform is accountable for its accuracy. A seller may verify a settlement; a seller is not the control that makes it correct.

2. Scope

In scope	Out of scope
Settlement computation and payout	Buyer payment methods and gateways
Commission, reversals, adjustments and reserves	Seller pricing decisions
Platform-generated tax invoices and credit notes	Seller tax filing obligations
Refund processing and recovery of overpayments	Fraud investigation
Settlement dispute handling	Commercial tier negotiation

3. Definitions

Term	Definition
Settlement cycle	The defined period whose transactions are computed together
Cycle close	The point at which transactions stop accruing to a cycle
Payout lag	Business days between cycle close and funds leaving the platform
Gross merchandise value	Total transacted value before deductions
Reversal	A deduction arising from a return, cancellation or refund
Adjustment	A deduction or credit not arising from a transaction
Reserve	A proportion of cycle value withheld against future returns
Variance	Difference between computed payout and payout predicted from source events

Term	Definition
Materiality threshold	The value below which a residual difference may be accepted

4. Settlement Rules

4.1 Cycle and Payout

Tier	Settlement frequency	Payout lag
Silver	Fortnightly	T+2 business days
Gold	Fortnightly	T+2 business days
Gold, dropship model	Fortnightly	T+3 business days
Platinum	Weekly	T+1 business day

R-1. Settlement frequency is determined by a readiness assessment, not by tier alone. Tier establishes eligibility; readiness establishes entitlement. The readiness conditions are defined in the Seller Onboarding Policy.

R-2. An extended payout lag applies where the business model defers return exposure past cycle close, as in dropship arrangements.

R-3. A cycle whose correctness is in question **must be held before payout executes**. Holding is reversible; payout is not. The decision to hold does not require the correct figure to be known.

4.2 Computation

R-4. Settlement is computed from order, return and refund events. Those events are the source of truth. Where the ledger and the event history disagree, the event history governs.

R-5. Every ledger entry must be uniquely identifiable by a business key. Reversal entries are order-scoped and their uniqueness key must include the order identifier.

R-6. Batch reprocessing requires an explicit replay authorisation with a documented reason. Idempotency of the computation is not sufficient justification to rerun a batch without authorisation.

R-7. Ledger invariant checks must pass before payout is authorised. At minimum: each reversal maps to exactly one originating order line; entry types sum to the batch net; no entry appears more than once under its composite key.

R-8. A schema or migration change affecting a key, constraint or uniqueness guarantee on financial data requires financial review in addition to engineering review.

4.3 Variance Detection

R-9. Each cycle must be compared against a payout predicted independently from source events before funds are released.

R-10. A variance exceeding **0.75 percent** or **INR 50,000**, whichever is lower in absolute terms, raises an operations alert and blocks payout pending review.

R-11. A variance detected after payout is handled as a financial recovery under the Payment and Settlement Recovery Runbook.

Rules R-9 and R-10 were introduced in version 3.1 after a settlement shortfall in March 2026 was detected by a seller's own reconciliation rather than by any platform control. The policy previously assumed the ledger was correct and provided no mechanism to test that assumption.

5. Tax Documents

R-12. Tax invoices and credit notes generated by the platform are the platform's responsibility. The platform is accountable for the correctness of the rate, the classification and the document itself.

R-13. A listing whose tax category resolves to a category default rather than to an explicit mapping must not be published. It is held for classification.

R-14. Where an incorrect rate has been applied, a credit note is issued against each incorrect invoice and the invoice is re-issued at the correct rate. A net adjustment line is **not** an acceptable correction for a tax error, because the counterparty requires a corrective document per invoice for its own filing.

R-15. Where a rate revision is applied, the completeness of the remap must be verified for both existing and subsequently created listings.

R-16. The cost of correcting a platform-generated tax error is borne by the platform. It is not recovered from the seller or from the buyer.

6. Refunds

R-17. Refund processing must be idempotent. A refund event that has already been applied must not be applied again, regardless of delivery semantics upstream.

R-18. Any consumer of an at-least-once event stream that performs a non-idempotent financial operation must maintain an idempotency record. This is a design review gate, not a recommendation.

R-19. Duplicate refunds are reversed at the payment processor where the transaction is unsettled. Where settled, the amount is pursued only where material and proportionate; otherwise it is written off with a named approver.

R-20. Refund volume per account must be monitored against expected volume, with alerting on material deviation.

7. Recovery of Overpayments

R-21. Where a seller has been overpaid through platform error, recovery is staged across settlement cycles by default. A single debit is used only at the seller's request.

R-22. No interest or fee is applied where the seller did not cause the error.

R-23. Recovery terms are a Business decision. Operations executes; Operations does not decide who bears a cost.

R-24. Where recovery cost exceeds the amount recoverable, the amount is written off with a documented rationale and a named approver.

8. Responsibilities

Role	Responsibility
Operations	Settlement execution, ledger correction, verification, recovery
Engineering	Correctness of computation, invariants, idempotency, variance detection
Business	Commercial decisions on cost absorption and recovery terms
Support	Seller communication and evidence gathering on financial queries
Settlement desk	Execution of credits, debits and adjustment lines
Seller	Timely notification of a suspected discrepancy

A seller's reconciliation is a valuable cross-check and is treated as such. It is not a platform control and its absence does not reduce platform accountability.

9. Exceptions

- E-1. A payout may be released with a residual difference below the materiality threshold agreed with Business, where the residual is quantified and recorded. An unquantified difference is never acceptable.
- E-2. A recovery may be deferred beyond a cycle where deferral demonstrably reduces harm, with Business agreement.
- E-3. Settlement frequency may be granted ahead of full readiness as a documented policy exception under the Seller Onboarding Policy, with milestones and a compensating control.
- E-4. No exception may waive R-3 (hold before payout), R-7 (invariants) or R-12 (platform accountability for tax documents).

10. Escalation

Situation	Escalate to	Timeframe
Suspected cycle error before payout	Operations, hold immediately	Immediately
Payout executed at an incorrect amount	Business and Operations lead	Immediately
Variance alert raised	Operations recovery owner	Within 2 hours
Seller disputes a corrected figure	Business	1 working day
Back-test reveals further historical instances	Engineering and Business	1 working day
Recovery exceeds the materiality threshold	Business	Before seller contact

11. Enforcement

- Payout authorisation is technically gated on the invariant checks and the variance control. A payout cannot be released while a variance alert is unresolved.
- Batch reprocessing is gated on the replay authorisation mechanism. A rerun under an existing processing token is rejected by the system, not merely discouraged by this policy.
- Financial review for schema changes affecting financial constraints is a required approval in the release pipeline.
- Failure to follow this policy is reviewed at the post-incident review and, where a control was bypassed rather than absent, is escalated to the policy owner.

12. Review History

Version	Date	Change	Owner
1.0	2022-04-11	Initial settlement policy	Operations
2.0	2024-06-03	Tier-based frequency; reserves for dropship models	Operations

Version	Date	Change	Owner
3.0	2025-11-12	Platform accountability for tax documents made explicit	Neha Gupta
3.1	2026-04-01	Variance detection, invariants, replay authorisation added	Neha Gupta
3.2	2026-09-26	Refund idempotency and staged recovery rules added	Neha Gupta

Next scheduled review: April 2027.